

Visualizing Gain Exclusion on Principal Residence Sale



PRINCIPAL RESIDENCE

MAXIMUM GAIN EXCLUSION

> 2 Out of the Previous 5 Years



\$250,000

Single



\$500,000

MFJ

MAXIMUM GAIN EXCLUSION

< 2 Out of the Previous 5 Years



EMPLOYMENT



HEALTH



UNFORESEEN

PRO RATA

$(\# \text{ of Months} / 24) \times (\$250,000 \text{ or } \$500,000)$

OCCUPIED AS PRINCIPAL RESIDENCE EXAMPLE (MFJ)

	24 Months	15 Months
SALE PRICE	\$600,000	\$600,000
ADJUSTED BASIS	\$250,000	\$250,000
TOTAL GAIN	\$350,000	\$350,000
GAIN INCLUDED	\$0	\$37,500
GAIN EXCLUDED	\$350,000	\$312,500

PRO RATA EXCLUSION REFERENCE GUIDE

MONTHS OCCUPIED	GAIN EXCLUSION	
	Single	MFJ
4	\$41,667	\$83,333
8	\$83,333	\$166,667
12	\$125,000	\$250,000
16	\$166,667	\$333,333
20	\$208,333	\$416,667
24	\$250,000	\$500,000